EDUCATION

Beginner's Guide to Reading Charts

Candlesticks, support and resistance, volume, and trends — explained simply.

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Every trading decision begins with reading a chart. A price chart is a visual record of every trade that happened in a stock — every buyer and seller, every moment of fear and greed. Learning to read it correctly is the single most important skill in technical trading.

CONCEPT 1

What a Candlestick Shows

Each candlestick shows four prices: the open, the high, the low, and the close. Green = closed higher than it opened. Red = closed lower. The wicks show the high and low reached during that period.

CONCEPT 2

Support and Resistance

Support is where buyers consistently step in and stop a decline. Resistance is where sellers consistently stop a rally. These levels are the most important reference points on any chart.

CONCEPT 3

What Volume Tells You

Volume is the number of shares traded. High volume on a move means conviction. Low volume means the move is weak. Never trust a breakout without volume.

CONCEPT 4

Identifying a Trend

An uptrend is higher highs and higher lows. A downtrend is lower highs and lower lows. A range-bound market bounces between support and resistance with neither.

CONCEPT 5

Moving Averages

A moving average is the average closing price over a set number of periods. Price above = generally bullish. Price below = generally bearish. They act as dynamic support and resistance.

CANDLESTICK PATTERN QUICK REFERENCE

PATTERN	WHAT IT LOOKS LIKE	WHAT IT SIGNALS	BEST USED AT
Hammer	Small body at top, long lower wick	Buyers rejected lower prices aggressively	Support levels after a downtrend
Shooting Star	Small body at bottom, long upper wick	Sellers rejected higher prices aggressively	Resistance levels after an uptrend
Doji	Open and close nearly identical	Indecision between buyers and sellers	End of a trend as a reversal warning
Bullish Engulfing	Large green candle engulfs prior red	Strong shift from sellers to buyers	Key support after a decline
Bearish Engulfing	Large red candle engulfs prior green	Strong shift from buyers to sellers	Key resistance after a rally
Marubozu	Large body, no or tiny wicks	One side in complete control all session	Breakouts and strong trend days

MOVING AVERAGE QUICK REFERENCE

MOVING AVERAGE	PERIOD	BEST USED FOR
8 EMA	Short-term	Intraday momentum — is price in trend or not
20 EMA	Medium-term	Pullback entries in trending stocks
50 SMA	Intermediate	Swing trade trend filter
200 SMA	Long-term	Bull vs bear market filter — above = bullish bias

TST RULE

Start with the daily chart to understand context, then drop to the intraday chart for your entry. Trading intraday without knowing what the daily chart looks like is like navigating without a map.

Full chart reading curriculum in the TST Academy Beginner section at topstocktrading.com